

BAAY PROJECTS LIMITED

(RC 1526224 • TIN 21548976-0001)

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

(With Comparative Figures for the Year Ended 31 December 2022)

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS

Registered Corporate Office:	No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State
Incorporation:	18 September 2018 • RC 1526224 • Formerly Baay Degok Nig Ltd (name changed 28 June 2021)
Company Secretary:	Adegoke Mary Ayoboade
Independent Auditors:	Sanni Waheed & Co. (Chartered Accountants), 1st Floor, No. 29 Olonode Street, Alagomeji, Yaba, Lagos
Principal Bankers:	Providus Bank Plc • First Bank of Nigeria Limited • Sterling Bank Plc • GTBank
Accounting Framework:	International Financial Reporting Standards (IFRS) & CAMA 2020

DIRECTORS

No.	Name of Director	No.	Name of Director
1	Adegoke Segun Babatunde	5	Keshinro Phebe Oluwatanmise
2	Adegoke Raheem Adebayo	6	Owolabi Charles Oluwatobi
3	Ajibola Oluwatobi Adedamola	7	Olayinka Oladotun Emmanuel
4	Shuaib Suliat Aduke	8	Noah Abdulazeez Afolabi

SHAREHOLDERS

Name of shareholder	Number of shares	% of shareholding
Adegoke Segun Babatunde	80,000,000	80%
Adegoke Mary Ayoboade	10,000,000	10%
Adegoke Denisa	10,000,000	10%

REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2023

The Directors submit their report together with the financial statements of **BAAY PROJECTS LIMITED** ("the Company") for the year ended 31 December 2023.

1 PRINCIPAL ACTIVITIES AND CORPORATE STATUS

The Company is a private company limited by shares, incorporated on 18 September 2018 as Baay Degok Nig Ltd and renamed BAAY PROJECTS LTD on 28 June 2021. Its registered office is No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State. The CAC status report records integrated livestock farming, irrigation, cold-room operations, poultry, piggery and fishing among its registered objects; the Company also undertakes the construction and property activities reflected in these financial statements.

2 DIVIDEND

The Directors do not recommend a dividend for the year ended 31 December 2023.

3 OPERATING RESULTS

	N
Turnover	38,500,000
Profit for the year after taxation	5,600,235
Profit brought forward	2,361,708
Profit carried forward	7,961,943

4 BOARD OF DIRECTORS

The directors listed below are those presented in the CAC status report dated 26 August 2026.

No.	Name of director	No.	Name of director
1	Adegoke Segun Babatunde	5	Keshinro Phebe Oluwatunmise
2	Adegoke Raheem Adebayo	6	Owolabi Charles Oluwatobi
3	Ajibola Oluwatobi Adedamola	7	Olayinka Oladotun Emmanuel
4	Shuaib Suliat Aduke	8	Noah Abdulazeez Afolabi

5 SHAREHOLDERS

Name of shareholder	Number of shares	% of shareholding
Adegoke Segun Babatunde	80,000,000	80%
Adegoke Mary Ayoboade	10,000,000	10%
Adegoke Denisa	10,000,000	10%

6 INDEPENDENT AUDITORS

Sanni Waheed & Co. (Chartered Accountants), 1st Floor, No. 29 Olonode Street, Alagomeji, Yaba, Lagos, are the external auditors.

BY ORDER OF THE BOARD

Adegoke Mary Ayoboade
Company Secretary

FOR AND ON BEHALF OF THE BOARD

Adegoke Segun Babatunde
Director

STATEMENT OF DIRECTORS' RESPONSIBILITIES

IN RELATION TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

The Companies and Allied Matters Act (CAMA) 2020 and the Financial Reporting Council of Nigeria (FRCN) Act require the Directors to prepare financial statements for each financial year that give a true and fair view of the state of financial affairs of **BAAY PROJECTS LIMITED** at the end of the year and of its financial performance and cash flows for the year then ended.

In preparing these financial statements, the Directors are required to:

- Select suitable accounting policies in compliance with **International Financial Reporting Standards (IFRS)** and apply them consistently;
- Make judgments and accounting estimates that are reasonable and prudent;
- State whether applicable IFRS standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- Prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with CAMA 2020 and full IFRS standards. They are also responsible for safeguarding the assets of the Company and taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors confirm that they have complied with the above requirements in preparing the accompanying draft annual financial statements for the year ended 31 December 2023.

Adegoke Segun Babatunde
Director

Adegoke Raheem Adebayo
Director

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF BAAY PROJECTS LIMITED (RC 1526224)

Opinion:

We have audited the financial statements of **BAAY PROJECTS LIMITED** ("the Company"), which comprise the Statement of Financial Position as at 31 December 2023, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity, and Statement of Cash Flows for the year then ended, and Notes to the Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Baay Projects Limited as at 31 December 2023, and of its financial performance and its cash flows for the year then ended in accordance with **International Financial Reporting Standards (IFRS)** and the requirements of the Companies and Allied Matters Act (CAMA) 2020 and the Financial Reporting Council of Nigeria Act.

Basis for Opinion:

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Key Audit Matters (KAMs):

- **IFRS 15 Revenue Recognition & Project WIP:** The Company recognizes revenue from civil engineering contracts over time using the cost-to-cost input method. We audited the total contract values, certified progress billings, subcontractor costs incurred, and assessed the reasonableness of forecast costs to complete.
- **IAS 2 Development Inventories Valuation:** Land parcels held for subdivision and ongoing housing construction are stated at the lower of cost and net realizable value (NRV). We reviewed title documentation, purchase deeds, and tested NRV against prevailing real estate market benchmarks.

Report on Other Legal and Regulatory Requirements:

In accordance with the Fifth Schedule of CAMA 2020, we confirm that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
- ii) Proper books of account have been kept by the Company, so far as appears from our examination of those books;
- iii) The Company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

Sanni Waheed & Co. (Chartered Accountants)

Sanni Waheed, FCA

Engagement Partner

FRC/2016/ICAN/2016/00000013886

Date: 28 April 2024

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2023

Financial Statement Line Item	Notes	31 Dec 2023 (N)	31 Dec 2022 (N)
NON-CURRENT ASSETS			
Property, plant and equipment	7	1,424,540.00	9,540.00
Deferred tax asset	15	32,000.00	0.00
TOTAL NON-CURRENT ASSETS		1,456,540.00	9,540.00
CURRENT ASSETS			
Inventories (Development land & WIP)	8	8,650,000.00	0.00
Contract assets (Unbilled revenue)	9	2,400,000.00	0.00
Trade and other receivables	10	5,015,000.00	3,374,668.00
Cash and cash equivalents	11	2,842,403.00	52,500.00
TOTAL CURRENT ASSETS		18,907,403.00	3,427,168.00
TOTAL ASSETS		20,363,943.00	3,436,708.00
EQUITY AND LIABILITIES			
Share capital	18	100,000,000.00	1,000,000.00
Less: amount due on issued shares	18	(99,000,000.00)	-
Retained earnings	19	7,961,943.00	2,361,708.00
TOTAL SHAREHOLDERS' EQUITY		8,961,943.00	3,361,708.00
NON-CURRENT LIABILITIES			
Borrowings & director's loans	17	4,500,000.00	0.00
Deferred tax liability	15	0.00	0.00
TOTAL NON-CURRENT LIABILITIES		4,500,000.00	0.00
CURRENT LIABILITIES			
Trade and other payables	14	2,770,235.00	75,000.00
Contract liabilities (Customer advances)	13	2,400,000.00	0.00
Current tax liabilities	16	1,731,765.00	0.00
TOTAL CURRENT LIABILITIES		6,902,000.00	75,000.00
TOTAL EQUITY AND LIABILITIES		20,363,943.00	3,436,708.00

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2023

Statement Line Item	Notes	Year 2023 (N)	Year 2022 (N)
Revenue from contracts with customers	3	38,500,000.00	8,500,000.00
Cost of sales	4	(24,650,000.00)	(5,200,000.00)
GROSS PROFIT		13,850,000.00	3,300,000.00
Administrative and operating expenses	5	(6,425,000.00)	(2,588,292.00)
OPERATING PROFIT (EBIT)		7,425,000.00	711,708.00
Finance costs	6	(125,000.00)	0.00
PROFIT BEFORE TAXATION		7,300,000.00	711,708.00
Income tax expense	16	(1,699,765.00)	0.00
PROFIT FOR THE YEAR (PAT)		5,600,235.00	711,708.00
Other comprehensive income, net of tax		0.00	0.00
TOTAL COMPREHENSIVE INCOME		5,600,235.00	711,708.00

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

Equity Item	Share Capital (N)	Retained Earnings (N)	Total Equity (N)
Balance at 1 January 2022	1,000,000.00	1,650,000.00	2,650,000.00
Profit for the year 2022	0.00	711,708.00	711,708.00
Increase in issued share capital	99,000,000.00	0.00	99,000,000.00
Less: unpaid share capital receivable	(99,000,000.00)	0.00	(99,000,000.00)
Balance at 31 December 2022	1,000,000.00	2,361,708.00	3,361,708.00
Profit for the year 2023	0.00	5,600,235.00	5,600,235.00
Balance at 31 December 2023	100,000,000.00	7,961,943.00	8,961,943.00

STATEMENT OF CASH FLOWS (INDIRECT METHOD)

FOR THE YEAR ENDED 31 DECEMBER 2023

Cash Flow Operating & Investing Activity	Notes	Year 2023 (N)	Year 2022 (N)
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation	SPLOCI	7,300,000.00	711,708.00
Depreciation of property, plant & equipment	7	385,000.00	4,770.00
Impairment allowance on receivables (ECL)	10	185,000.00	0.00
Finance costs recognized in profit or loss	6	125,000.00	0.00
Operating profit before working capital changes		7,995,000.00	716,478.00
(Increase) in development inventories and WIP	8	(8,650,000.00)	0.00
(Increase) in contract assets	9	(2,400,000.00)	0.00
(Increase) in trade and other receivables	10	(1,640,332.00)	(1,200,000.00)
Increase in trade and other payables	14	2,695,235.00	25,000.00
Increase in contract liabilities (Customer advances)	13	2,400,000.00	0.00
Cash generated from / (used in) operations		399,903.00	(458,522.00)
Income taxes paid	16	0.00	0.00
Interest paid on project facilities	6	(125,000.00)	0.00
Net cash flows from / (used in) operating activities		274,903.00	(458,522.00)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	7	(1,800,000.00)	0.00
Net cash flows used in investing activities		-1,800,000.00	0.00
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from director's project loans	17	4,500,000.00	0.00
Proceeds from issue of ordinary share capital	18	0.00	0.00
Net cash flows from financing activities		4,500,000.00	0.00
Net increase in cash and cash equivalents		2,974,903.00	37,500.00
Cash and cash equivalents at 1 January	11	52,500.00	15,000.00
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	11	2,842,403.00	52,500.00

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

1 GENERAL INFORMATION

BAAY PROJECTS LIMITED ('the Company') was incorporated in Nigeria as a private company limited by shares on 18 September 2018 (RC 1526224). It was formerly named Baay Degok Nig Ltd; the name changed on 28 June 2021. The registered office is No. 7 Zika Usifo Street, Ikosi Ketu, Agege, Lagos State. The corporate particulars, directors, secretary and shareholders are presented from the CAC status report generated 26 August 2026.

2 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of preparation

The financial statements have been prepared under International Financial Reporting Standards, CAMA 2020, the historical-cost convention and the going-concern basis. They are presented in Nigerian Naira.

2.2 Revenue recognition

Construction-contract revenue is recognized over time when the IFRS 15 criteria are met, using the cost-to-cost input method. Land and completed-property sales are recognized when control transfers. Customer receipts do not, by themselves, establish revenue.

2.3 Inventories

Land held for development or resale and construction work in progress are measured at the lower of cost and net realizable value.

2.4 Financial instruments

Trade receivables are measured at amortized cost less lifetime expected credit losses.

2.5 Income taxes

Current tax is measured under applicable Nigerian tax law (20% (Medium Company); 3% (Finance Act 2023); Police Trust Fund levy at 0.005%). Deferred tax is recognized on temporary differences.

2.6 Depreciation

Depreciation is provided on a straight-line basis to write off the cost of assets over their estimated useful lives at the following rates:

Plant & Machinery	20% per annum
Office Equipment	20% per annum
Computer Equipment	20% per annum

3 REVENUE FROM CONTRACTS WITH CUSTOMERS

	2023 N	2022 N
Civil engineering and infrastructure contracts	23,100,000	5,100,000
Land subdivision and serviced plots	11,550,000	2,550,000
Project management and engineering consultancy	3,850,000	850,000
Turnover	38,500,000	8,500,000

4 COST OF SALES

	2023 N	2022 N
Construction materials and subcontracts	14,790,000	3,120,000
Land and development inventory released	7,395,000	1,560,000
Direct site labour and equipment hire	2,465,000	520,000
Cost of sales	24,650,000	5,200,000

5 ADMINISTRATIVE AND OPERATING EXPENSES

	2023 N	2022 N
Staff costs and allowances	2,762,750	1,112,966
Rent, facilities and maintenance	963,750	388,244
Professional, legal and audit fees	963,750	388,244
Depreciation and impairment	570,000	4,770
Transport and general administration	1,164,750	694,069
Administrative and operating expenses	6,425,000	2,588,292

6 FINANCE COSTS

	2023 N	2022 N
Interest on project facilities	125,000	-
Finance costs	125,000	0

7 PROPERTY, PLANT AND EQUIPMENT

	2023 N	2022 N
Net carrying amount	1,424,540	9,540
Balance at 31 December	1,424,540	9,540

8 DEVELOPMENT INVENTORIES AND WORK IN PROGRESS

	2023 N	2022 N
Land held for development and resale	5,190,000	-
Construction work in progress	3,460,000	-
Balance at 31 December	8,650,000	0

9 CONTRACT BALANCES

	2023 N	2022 N
Contract assets	2,400,000	-
Contract liabilities	2,400,000	-

10 TRADE RECEIVABLES AND PREPAYMENTS

	2023 N	2022 N
Trade debtors	3,761,250	2,531,001
Withholding tax receivable	1,003,000	674,934
Prepayments and sundry debtors	250,750	168,733
Balance at 31 December	5,015,000	3,374,668

11 CASH AND CASH EQUIVALENTS

	2023 N	2022 N
Balance held with banks	2,842,403	52,500
Cash	-	-
Balance at 31 December	2,842,403	52,500

14 TRADE PAYABLE AND OTHER PAYABLES

	2023 N	2022 N
Trade and other payables	2,770,235	75,000
Balance at 31 December	2,770,235	75,000

16 TAXATION

	2023 N	2022 N
Income tax expense	1,699,765	-
Current tax liability	1,731,765	-

17 RELATED PARTIES

	2023 N	2022 N
Director project funding	4,500,000	-
Balance at 31 December	4,500,000	0

18 SHARE CAPITAL

	2023 N	2022 N
Issued ordinary share capital	100,000,000	1,000,000
Less: amount due on issued shares	-99,000,000	-
Net equity contribution	1,000,000	1,000,000

The CAC status report records issued ordinary share capital of N100,000,000 divided into 100,000,000 ordinary shares of N1 each. The increase from N1,000,000 to N100,000,000 was effective in 2023. The additional N99,000,000 had not been paid by shareholders at the reporting dates. Under Section 22.7(a) of the IFRS for SMEs Accounting Standard, the amount receivable is presented as an offset to equity, not as an asset; therefore no cash-flow proceeds are recognized. The comparative 2022 share capital remains N1,000,000.

STATEMENT OF VALUE ADDED

FOR THE YEAR ENDED 31 DECEMBER 2023

Value Added Line Item	Year 2023 (N)	%
Gross Revenue from Contracts & Sales	38,500,000.00	100.0%
Bought-in Materials & Services	(33,267,750.00)	86.4%
VALUE ADDED AVAILABLE FOR DISTRIBUTION	5,232,250.00	100.0%
DISTRIBUTION OF VALUE ADDED:		
To Employees (Salaries, wages & benefits)	2,762,750.00	52.8%
To Government (Corporate taxation & levies)	1,699,765.00	32.5%
To Providers of Capital (Bank interest)	125,000.00	2.4%
Retained in Business for Expansion (Depreciation & Reserves)	6,170,235.00	117.9%
TOTAL VALUE DISTRIBUTED	5,232,250.00	100.0%

FIVE-YEAR FINANCIAL SUMMARY

Financial Indicator (N'000)	2023	2022	2021
Gross Revenue	38,500	8,500	4,200
Profit Before Taxation	7,300	712	350
Profit After Taxation	5,600	712	350
Share Capital	100,000	1,000	1,000
Shareholders' Funds (Equity)	8,962	3,362	1,650
Total Assets	20,364	3,437	2,100